

The Making of a Global World

Social Science — History • Chapter 3 • Chapter Summary & Study Guide for Daksh

If a chocolate bar in your hand contains cocoa from West Africa, sugar from Brazil, milk from New Zealand, and was made in Switzerland — that chocolate is a tiny story of **globalisation**: the deep economic, cultural and political interconnection of the world. This chapter traces the long journey of globalisation — from the ancient Silk Routes through colonial empires, two world wars, the Bretton Woods system, to post-1970s liberalisation.

The pre-modern world — early connections

Trade, migration and cultural exchange are not new — they are thousands of years old:

- **Silk Routes** linked China with Asia, North Africa, Europe (used until ~15th century). Carried silk, spices, ceramics — and ideas like Buddhism.
- **Food** too travelled: noodles from China became spaghetti; potatoes, tomatoes, chillies, sweet potatoes, maize came to Europe and Asia from the Americas after Columbus' 1492 voyage. Indian curry got chillies from the Americas.
- European conquest of the Americas: not by superior weapons alone, but by **germs (smallpox)** for which native populations had no immunity. Whole societies were wiped out.
- Until the 18th century India and China dominated world trade and economic might. China then turned inward; the European focus shifted west, towards the Atlantic.

The 19th century — a globalised world emerges

Industrialisation, steam ships, railways, telegraph and a stable gold-based monetary system created a global economy. Three flows accelerated:

- **Goods** — Britain, the workshop of the world, exported manufactured goods and imported food and raw materials. India exported cotton, jute, indigo; food grains.
- **People** — large migration: 50 million Europeans went to America/Australia between 1815 and 1914; Indian and Chinese 'indentured labourers' (under 5-year contracts) went to Caribbean (Trinidad, British Guiana), Mauritius, Fiji, Africa to work on plantations. Conditions were often little better than slavery — 'a new system of slavery'.
- **Capital** — banks, railway companies financed projects across continents.

Corn Laws in Britain restricted food imports — repealed in 1846 to allow cheap food, transforming British agriculture and pushing British food production overseas (Russia, America, Australia). The **rinderpest** cattle plague in the 1890s ravaged African herds — disrupting livelihoods and helping European powers force Africans into wage labour.

The inter-war period (1918-1939)

After WWI, Europe was bankrupt and indebted. The **Great Depression (1929)**:

- Began with US stock market crash. Spread worldwide.
- Agricultural prices crashed; farmers in many countries lost their lands.
- In India, agricultural exports fell sharply; peasants were trapped in debt — fuelled the Civil Disobedience Movement.
- Large-scale unemployment in industrialised countries; trade plummeted.
- Governments turned to **protectionism** — high tariffs, currency controls.

Rebuilding the world — Bretton Woods system

After WWII, leaders met at **Bretton Woods, USA, in July 1944** to create a new international economic order. Outcome:

BRETTON WOODS INSTITUTIONS (1945)

IMF : International Monetary Fund - manages external surpluses & deficits

World Bank : finances post-war reconstruction

Fixed exchange rates against US dollar; dollar fixed to gold.

Both controlled by USA (and other Western developed countries)

Result: 1950s-60s -> rapid growth of world trade and incomes
(especially in industrialised countries).

Decolonisation and a new globalisation

Newly independent countries (India, etc.) joined as 'developing nations'. The **G-77** demanded a 'New International Economic Order' — control over their resources, fairer trade, technology transfer.

The Bretton Woods system **collapsed in the 1970s** (US dropped the dollar-gold fixed rate in 1973). Industrial growth slowed in West, but Multinational Companies (MNCs) shifted production to low-wage countries (China, Mexico, Eastern Europe). Today's globalisation — instant capital flows, cheap goods made far away — is a result of these shifts, with new opportunities and new inequalities.

★ MUST-REMEMBER POINTS

- Silk Routes connected China to Europe — carried goods AND religion (Buddhism).
- 1492 Columbus → American foods (potato, tomato, chilli, maize) spread worldwide; smallpox wiped out natives.
- Indentured labour from India: Trinidad, Guiana, Mauritius, Fiji — 'new system of slavery'.
- Corn Laws abolished in Britain in 1846 → cheap food imports.
- Great Depression 1929: US stock crash → global. Hit Indian peasants hard.
- Bretton Woods 1944 → IMF + World Bank; system collapsed in 1973.
- Rinderpest devastated African cattle in 1890s, accelerating colonial conquest.

— End of Summary —